

1 What is Accounts Receivable?



Accounts Receivable (AR) represents the amount customers owe the company for goods or services already delivered but not yet paid.



It is a **Current Asset** in the Balance Sheet.

EXAMPLE

ABC Ltd sold goods worth ₹100,000 on credit to XYZ Ltd.



Journal Entry

Account	Debit	Credit
Accounts Receivable	100,000	
Sales Revenue		100,000

BALANCE SHEET

ASSETS

Current Assets

Accounts Receivable ₹100,000



2 AR in Record-to-Report Process

AR originates in the Order-to-Cash (O2C) process.

ORDER-TO-CASH (O2C)



Output

Invoices, Receipts and Other AR Transactions

However...
At Month End,



R2R team ensures

- AR balances are accurate
- Financial Statements are correct
- Customer balances are genuine
- No duplicate posting
- No missing payments
- No incorrect adjustments



Therefore,



O2C
creates transactions



R2R
validates and reports them.

1 Why AR Reconciliation is Required?

ERP (Company Books)



Customer A owes
₹10,50,000

VS

Customer Statement



Customer A shows
₹10,00,000



Difference = **₹50,000**

QUESTIONS TO INVESTIGATE



Payment not posted?



Duplicate invoice?



Wrong customer?



Credit note missing?



FX issue?



This investigation
is called
**AR
Reconciliation.**

2 Objectives of AR Reconciliation



Validate
AR balance



Ensure GL
agrees with
Subledger



Detect
posting
errors



Detect
duplicate
invoices



Detect
unapplied
cash



Detect wrong
customer
allocation



Detect
fraud



Improve
Working
Capital



Improve
Financial
Reporting



AR Reconciliation ensures accuracy, completeness and reliability of receivables, leading to better cash flow, stronger controls and trustworthy financial statements.





Difference Analysis

Possible Reasons for AR Differences



When GL and Subledger / Customer balances do not agree, the difference needs to be investigated.

1



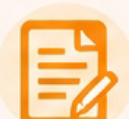
Payment posted only in GL

2



Customer receipt pending

3



Manual Journal Entry

4



Credit Memo missing

5



Wrong Customer

6



Duplicate Invoice

7



Exchange Rate (FX)

8



Write Off

9



Bad Debt

10



Timing Difference



Identifying the exact reason helps in correcting the balance and ensuring accurate financial reporting.



Root Cause Investigation

Step-by-Step Analysis

Question 1



Was payment received?



Yes

Question 2



Was bank updated?



Yes

Question 3



Was cash applied?



No

Reason



Unapplied Cash

Solution



Apply payment.



Outcome

Root cause investigation helps in identifying the real issue and ensuring accurate AR balances.



Types of AR Reconciliation

Different views to ensure accurate, complete and reliable Accounts Receivable balance

A GL vs AR Subledger

Most common reconciliation



Example

Particulars	Amount (₹)
General Ledger	₹5,25,00,000
AR Subledger	₹5,25,00,000
Difference	Zero
Status	✓ Reconciled

B Customer Statement Reconciliation

Company Books



Customer Books



Purpose

Confirm customer outstanding balance.

C Aging Reconciliation

Verify Aging Bucket



Current	30 Days	60 Days	90 Days	120+
0-30 Days	31-60 Days	61-90 Days	91-120 Days	> 120 Days



Ensure invoices are classified correctly.

D Bank Receipt Reconciliation



Customer paid



Did company receive?

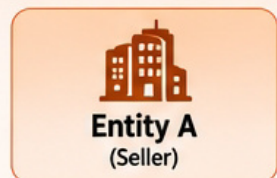


Did ERP record payment?



Ensure all receipts are captured and applied correctly.

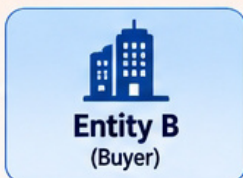
E Intercompany AR Reconciliation



Entity A
(Seller)



Customer



Entity B
(Buyer)



Both companies must match.

F Foreign Currency AR Reconciliation

Customer Invoice



USD

\$ 10,000



Company Books



INR

₹8,30,000
(as per FX Rate)



Need

FX Revaluation. ✓



DATA REQUIRED

Before reconciliation collect



General Ledger



Trial Balance



Customer Ledger



Invoice Listing



Payment Listing



Credit Notes



Debit Notes



Customer Statements



Bank Statement



Cash Application Report



Aging Report



DETAILED RECONCILIATION PROCESS

STEP 1

EXTRACT GL



110100

Accounts Receivable



GL BALANCE

Balance

₹15,000,000

STEP 2

EXTRACT CUSTOMER LEDGER



Customer	Balance
ABC	5,000,000
XYZ	3,500,000
PQR	6,500,000
Total	₹15,000,000



PERFECT

STEP 3

MATCH TOTAL



Particulars	Amount (₹)
GL	15,000,000
Subledger	15,000,000
Difference	0



MATCHED

SUPPOSE



Particulars	Amount (₹)
GL	15,000,000
Subledger	14,850,000
Difference	150,000



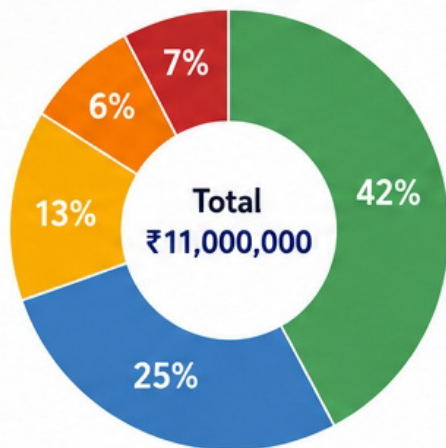
NEED
INVESTIGATION



CUSTOMER AGING ANALYSIS

Age Bucket	Amount (₹)
● 0-30	5,000,000
● 31-60	3,000,000
● 61-90	1,500,000
● 91-120	700,000
● 120+	800,000

AGING DISTRIBUTION



● 0-30	₹5,000,000
● 31-60	₹3,000,000
● 61-90	₹1,500,000
● 91-120	₹700,000
● 120+	₹800,000



MANAGEMENT FOCUS

120+



HIGH RISK



SAMPLE PRACTICAL EXAMPLE



Company

ABC
Manufacturing

GL Balance



₹8,500,000

Customer Ledger



₹8,350,000

Difference



₹150,000

INVESTIGATION

Found



Customer paid
₹150,000

Cash received



Yes

Applied



No

Reason



Payment sitting in
Suspense Account.

ADJUSTMENT



Move payment.



AFTER POSTING

Particulars	Amount (₹)
GL	₹8,350,000
Customer Ledger	₹8,350,000
Difference	Zero



RECONCILED



JOURNAL ENTRIES



1 CUSTOMER INVOICE

Dr	Accounts Receivable	500,000	
	Cr	Revenue	500,000



2 CUSTOMER PAYMENT

Dr	Bank	500,000	
	Cr	Accounts Receivable	500,000



3 BAD DEBT

Dr	Bad Debt Expense	6,000	
	Cr	Accounts Receivable	6,000



4 PROVISION

Dr	Bad Debt Expense	11,000	
	Cr	Allowance for Doubtful Accounts	11,000



5 WRITE OFF

Dr	Allowance for Doubtful Accounts	2,500	
	Cr	Accounts Receivable	2,500



6 CREDIT NOTE

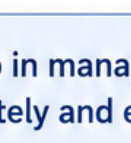
Dr	Sales Return	5,500	
	Cr	Accounts Receivable	5,500



These journal entries help record AR transactions accurately and ensure correct financial reporting.





 TRANSACTION	 PURPOSE
 FBL5N	 Customer Line Items
 FD10N	 Customer Balance Display
 FS10N	 GL Balance
 F-28	 Incoming Payment
 FB05	 Post with Clearing
 F.13	 Automatic Clearing
 F110	 Automatic Payment
 FB03	 Display Document
 FB50	 Manual Journal Entry
 FAGLB03	 GL Display



These SAP transactions help in managing and reconciling Accounts Receivable accurately and efficiently.





KEY RISKS

If AR Reconciliation is not done accurately



Financial Statement Misstatement

Incorrect AR balance leads to wrong financial reporting.



Overstated Assets

AR may be overstated, inflating Current Assets.



Revenue Misstatement

Revenue may be misstated due to incorrect AR balance.



Fraud

Risk of intentional manipulation or concealment.



Duplicate Receipts

Same receipt posted twice.



Customer Dispute

Unreconciled items lead to disputes and loss of trust.



Audit Qualification

Weak controls and unreconciled items may lead to audit issues.



Working Capital Issues

Overstated AR impacts liquidity and cash flow.



KPIs

Key Performance Indicators for AR Reconciliation

KPI	TARGET
 Reconciliation Completion	 100%
 Open Differences	 0
 Aging >120 Days	 <2%
 Cash Application Accuracy	 99%
 Collection Effectiveness	 95%
 Bad Debt %	 <1%
 Reconciliation Timeliness	 T+2
 Manual Journals	 Minimal



Strong AR Reconciliation = Accurate Financials + Healthy Cash Flow + Better Decisions





WHY GL WON'T REFLECT WHAT BUSINESS EXPECTS?



This is the most common reason the GL won't reflect what the operational business expects.



THE SITUATION

On the last day of the month, the OTC team bills a massive **\$500,000** order to a customer.



The billing document (VF01) successfully generates in the Sales and Distribution (SD) module.



The sales team celebrates!



THE PROBLEM

Behind the scenes, the integration to Finance **fails**.

SD MODULE



FINANCE



Perhaps a required Profit Center was missing on the customer master data, or a tax code wasn't mapped.



The system generates an error and halts the financial posting.



THE R2R VIEW

The R2R team runs the GL balance and it is **short \$500k**.

GL BALANCE (ACDOCA)

Expected Revenue	\$500,000
Actual Revenue	\$ 0
Difference	(\$500,000)



The revenue and the AR never hit ACDOCA.



THE RESOLUTION

The R2R team checks the interface error logs (using T-code **VFX3 – Blocked Billing Documents**).



- ✓ They identify the missing profit center.
- ✓ Have the master data team fix it.
- ✓ Re-release the billing document to accounting.



Both the GL and the subledger update simultaneously.



Order Billed in SD (VF01)
\$500,000



Integration Fails (Error)



Check Error Logs (VFX3)



Fix Master Data (e.g., Profit Center)



Re-release Billing to Accounting



GL & Subledger Updated



KEY TAKEAWAY: A small master data or configuration issue can prevent critical financial postings.
R2R ensures timely identification and resolution to keep financials accurate and reliable.

UNAPPLIED CASH: THE SILENT R2R KILLER



Cash application is technically an OTC function, but unapplied cash is a massive R2R reporting issue.



THE SITUATION

A customer wires **\$50,000** to your corporate bank account on the **31st**.

The bank statement uploads into SAP automatically.



Bank statement uploaded into SAP



THE PROBLEM

The customer didn't include an invoice number on the wire transfer (no remittance advice).

SAP knows the bank has the money, but it **doesn't know which customer subledger to credit**.

SYSTEM AUTO-POSTING

↓	Dr	Cash (GL)	\$50,000
↑	Cr	Unapplied Cash Suspense (GL)	\$50,000



Cash sits in a suspense (GL) account.



THE R2R VIEW

The AR Control Account (Trade Receivables) is technically **overstated by \$50,000** because the invoice is still sitting open in the subledger.

The cash is sitting in a **liability clearing account** instead of reducing AR.

R2R IMPACT

👤	AR (Trade Receivables) (Subledger)	OVERSTATED by \$50,000
🏦	Cash (Bank Account)	\$50,000
⚖️	Unapplied Cash Suspense (GL)	\$50,000 (Liability)



THE RESOLUTION

During the reconciliation steps, R2R identifies this large suspense balance.



They pressure the OTC cash apps team to contact the customer.



Identify the invoices and confirm.



Clear the suspense account against the customer's subledger.



Use T-code **F-32** or Fiori **Clear Incoming Payments**.

WHAT HAPPENS BEHIND THE SCENES



Customer wires **\$50,000** (No invoice number)



Bank statement uploaded into SAP



SAP auto-posts to Cash (Dr)



Auto-posts to Unapplied Cash Suspense (Cr)



AR remains open in subledger



OTC contacts customer, identifies invoices



Clear incoming payment (F-32 / Fiori)



Suspense cleared & AR reduced



KEY TAKEAWAY: Unapplied cash doesn't break daily operations, but it **distorts the GL, overstates AR, and misleads reporting**.



Timely cash application = Accurate AR + Clean GL + Reliable Financials



THE \$20,000 AR PLUG: AUDITOR'S NIGHTMARE



This is the scenario auditors hate the most, but it happens.

1 THE SITUATION

It is **11:00 PM** on the final day of close.

The R2R team discovers a **\$20,000 error** in the AR balance that must be corrected for corporate reporting.

However, the operational period for the subledger is **already locked**, and the OTC team has gone home.



11:00 PM
Final day of close



\$20,000
AR Error



OTC team
is gone

2 THE PROBLEM

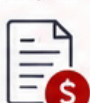
To force the financial statements to be correct, the R2R manager uses **T-code OAMK** to temporarily remove the "Reconciliation Account" restriction from the Trade Receivables GL account.

They post a direct manual journal entry (**MJE**) for **\$20,000** to the GL, and then immediately re-lock the account.

OAMK



MJE
\$20,000



Re-lock
Account



Quick fix for reporting. Big problem ahead.

3 THE R2R VIEW

The system is now **genuinely broken**.

The GL Total (**FAGLB03**) includes the **\$20,000 MJE**, but the Subledger (**FBL5N**) does not, because the MJE was not attached to a Business Partner.

LEDGER IMPACT



GL Total
(FAGLB03)

Includes MJE
+\$20,000



Subledger Total
(FBL5N)

Does NOT include
MJE



Difference

\$20,000
(Out of Balance)



GL and Subledger are
out of balance.

4 THE RESOLUTION

In the next accounting period, the R2R team must:



Post a **reversing MJE** directly to the GL to remove the plug.



Work with the OTC team to post the **\$20,000** correctly through the subledger.



Ensure both ledgers
match again.



Accurate books.
Happy auditors.
Sound reporting.



R2R finds AR error
(\$20,000)



Subledger period
already locked



Use OAMK to remove
reconciliation restriction



Post MJE \$20,000
to GL



Re-lock the
account



GL $\neq$ Subledger
(Out of balance)



Fix next period:
Reverse MJE + Post via
Subledger with OTC



KEY TAKEAWAY: Never plug a subledger difference with a manual journal entry. It only **hides** the problem today and creates a **bigger audit issue** tomorrow.



BEST PRACTICE:
Always fix at the source and ensure both GL and Subledger tie, every time.



BEST PRACTICES FOR A SMOOTH CLOSE



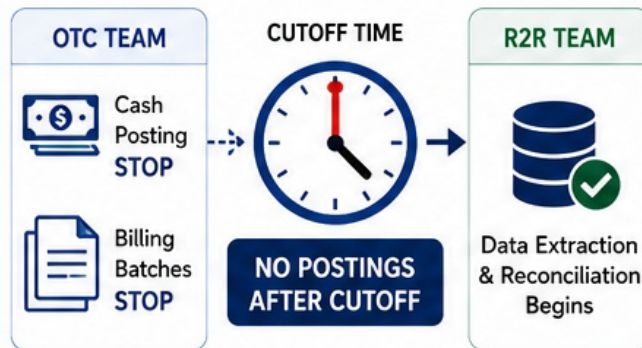
Strong processes today = Accurate financials tomorrow.

01

ESTABLISH A HARD CUTOFF

Communication is vital.

The R2R team must enforce a strict cutoff time for the OTC team to stop posting cash and billing batches before data extraction begins.



KEY TAKEAWAY



A clear cutoff ensures complete and consistent data for a smooth close.

02

RESTRICT CONTROL ACCOUNTS

In modern ERPs, the AR GL control account should be configured to automatically reject direct manual journal entries. **This forces all AR activity to originate in the subledger, eliminating MJE variances entirely.**

ALLOW DIRECT MJEs (AVOID)	RESTRICT DIRECT MJEs (BEST PRACTICE)
  Direct MJE to AR GL Account Creates Variance	  All AR Activity via Subledger Only Zero MJE Variance



KEY TAKEAWAY

Lock the control. Protect data integrity. Eliminate manual errors.

03

CLEAR SUSPENSE ACCOUNTS WEEKLY

Do not wait until month-end to investigate unapplied cash.

Reconciling suspense accounts weekly drastically reduces the investigative workload on day one of the close cycle.

WAITING UNTIL MONTH-END	VS	WEEKLY RECONCILIATION
 - Large Suspense Balance - High Investigation Effort - Close Delays - Higher Risk of Error		 - Small Suspense Balance - Lower Investigation Effort - On-Time Close - Better Accuracy & Control



KEY TAKEAWAY

Weekly action today saves time, stress and risk at month-end.



THE BIG PICTURE



Strong Communication & Ownership



Robust Controls & Restrictions



Clean Data & Timely Reconciliation



Accurate Financials & Confident Close